

FSRU Quarterly - Q2/26

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Market reflections: Sticky FSRU Fingers

Close to 100 days into what is now firmly one of the most significant — and least anticipated — LNG supply disruptions on record, we draw the conclusion that **it is supply that is the problem, not demand**. We claim no prize for stating the obvious, but it is reassuring to see the underlying drivers of the FSRU market remaining robust. As we entered the quarter we saw a prompt reaction from ongoing projects to pause activities, but the **prevailing message in our engagement with projects and end-users since is that they need to move now to be ready for 2028–2030**. "That is when the supply wave emerges, now that Middle East start-ups have been pushed out" has been playing on repeat in our discussions.

Despite the near-term uncertainty — or at least the increased risk premium — created by the situation in the Middle East, there has not yet been a sense of urgency around **long-term supply diversification** to the same extent seen in the wake of Russia-Ukraine in 2022. **LNG SPA contracting data reflects relatively muted activity so far in 2026**, with around 30 MTPA contracted year-to-date. We attribute this to a perception that the situation will eventually normalise, as opposed to the view that the disruption of Russian gas flows to Europe would create a permanent structural gap. However, contracts entered into this year appear to be at lower pricing points — whether oil-linked, gas hub or hybrid structures — **suggesting suppliers remain eager to place volumes**. In the context of FSRUs, **a 12%-to-Brent deal is considerably more stimulating than the 14–16%** seen in 2023–2024, and lower-cost SPAs broadly improve project economics in ways that strengthen the case for FSRU-based solutions.

In terms of **project activity**, we see a relatively constant balance between **Asia and LatAm, with Europe rounding off the geographical focus**. Interest from both private developers and public entities remains strong — a signal that demand is being driven by commercial opportunity and energy security in equal measure. What is worth noting is that the **"canary in the coalmine"** we thought we saw earlier — with suppliers looking to push into FSRU and downstream projects — **has not been visible recently**, which we read as a moderately constructive signal for market discipline.

Chartering activity was higher during the quarter, with **one newbuild booked back-to-back with a 20-year project** at what appears to be a **time charter of around US\$125,000–130,000/day**, and one contract substitution in **Colombia for a 7-year deal rumoured to be in the range of US\$150,000/day**. We expect to see a few further deals — assuming conditions precedent are lifted — in H2 2026 at somewhat lower levels based on conversions, but still at what can only be described as very healthy returns of around **6–8x Capex/EBITDA**.

Based on our assessment of the market, the **near-to-mid-term outlook for FSRUs has improved through the quarter**. Visibility on a number of "may become available" assets looking to extend or relocate has effectively left the market sold out of prompt tonnage — without forward commitments — until the latter part of 2027. Speculative contracting activity across both newbuilds and conversions has slowed, or more precisely, units that were sitting semi-speculatively have now found contracts. **FSRU providers have also developed the discipline to hold off** on committing tonnage until all conditions precedent are lifted, which is currently causing a handful of "ready-to-go" conversions to be delayed.

To summarize: **elevated FSRU rate levels have proven stickier than we anticipated 12 months ago**. While project development timelines still tend to follow a sine curve rather than a straight line, the discipline among FSRU providers around speculative ordering continues — for now — **to hold back the typical supply wave**. With near-term available FSRUs being absorbed into the market, partly at the expense of conversions and newbuilds, **the ingredients are in place for a solid second half of the year**.

Key market developments during the quarter

APRIL

Exmar confirms moving ahead with FSRU in Eemshaven. The FSRU will have a capacity of 750MMSCFD and work together with the **EEMSHAVEN LNG** already in place to provide a peak regas capacity of 1,350MMSCFD and a total of 190,000cbm of storage capacity. According to EET, a significant portion of the capacity has been sold through the recent open season(s) process. However, being a semi-public project we would expect the government to backstop any shortfall to ensure project commencing on track.

Colombia has been the hottest (and most chaotic) location for FSRUs over the past 18 months. At present we count four firm projects, but several of them require approvals for governmental licenses relating to mooring or construction of pipelines which is delaying FIDs. With the four new projects on the radar and the existing **HOEGH GRACE** in Cartagena, we consider Colombian demand covered on both coasts.

NFE announced the lease of the TGS terminal in Santa Catarina, Brazil with local Brazilian media indicating Ambar as the lessee for a period of 10 years. AMBAR were one of the major winners in the recent power auction (LR-CAP) and has quickly emerged as one of the major power plant owner/operator and developers in Brazil. While **ENERGOS WINTER** was on station for a short period in 2024-2025, it is expected that another FSRU will be required on back of the reported lease agreement.

Poland issued tender for **FSRU #2** in Gdansk asking for a 15yr charter from Owners. While initially open for newbuilds and conversions, the technical

MAY

US and Bangladesh announced an MOU to "advance strategic cooperation on energy resources, infrastructure development and long-term energy security". While covering a broader base than just LNG, we consider this as increasing the likelihood of seeing another **Excelerate FSRU** sooner or later heading to Bangladesh without the need for a full tender process. However, there are talks of other major energy players also vying for a bundled deal in Bangladesh. What is for sure is that RPGCL and Petrobangla has previously targeted a 3rd FSRU in Moheshkali which inevitably will happen - and most likely through a tedious public procurement process.

Dioriga Gas is advancing its regulatory procedures for the planned FSRU in Agioi Theodoroi/Corinth including a sea license and 3rd party exemption from regulator RAEWW (Regulatory Authority for Energy, Waste, and Water). Dioriga Gas also announced having teamed up with trader Mercuria on the FSRU venture with Mercuria likely being an offtaker of capacity from the FSRU. Dioriga is one of the more likely and advanced FSRU projects in Greece which may startup in 2028/2029.

Samsung announced the order for a **newbuild FSRU** for MISC at a price of US\$ 328m to be chartered to Petronas for their project in Lumut, Perak (Peninsular Malaysia). The FSRU will be 170,000cbm / 3 x 250MMSCFD and (likely) Open Loop with SW/Glycol. The unit is back-to-back with a 20yr TC expected to commence in Q2/29.

MISC with NB deal for Petronas at Lumut, Perak. 20 yr TC. NB to be built by Samsung with startup in Q2/29. 3 x 250MMSCFD, 170,000cbm at price of

JUNE

Frontera Energy announced the charter of an FSRU for seven years (with upto 8 years of options) commencing in 2027. The FSRU will have a capacity of ~500MMSCFD, but only send out around 300MMSCFD after a two-year rampup from 126MMSCFD. While no announcement has been made, we expect this to be **EXPRESS** as the allocated FSRU.

DET announced the start of operations at their fourth terminal in Stade is due to commence in Sep-26; approximately three years after the planned start-up in late-23. The project has suffered under a conflict between Hanseatic Energy Hub and DET - at the expense of German tax payers. The **ENERGOS FORCE** will depart its 10-month tenure in Aqaba, Jordan and return to Germany where she'll be operating until the HEH onshore terminal is completed in 2029.

PLN EPI released long-awaited tender for **NUSANTARA REGAS SATU** replacement. The technical specs suggest a large conversion with extra BOG handling and Small-scale LNG loading capability. However, the critical element as always in Indonesia is the requirement of Indonesian Flag. As we read it, this means **NUSANTARA REGAS SATU** will likely have to stay until at least 2030.

Tokyo Gas announced a JDA for Gas Malaysia's RGT Yan project with VTTI and Gas Malaysia Berhad. The project will include an FSRU (expected to be a conversion of 170,000cbm+ with 3 x 250MMSCFD) at a sheltered location offshore Yan (Peninsular Malaysia) with an expected startup in 2029.

Zululand LNG Terminal in Richards Bay

spec has subsequently been narrowed to only include newbuilds. The timing for selection of preferred bidder is expected to be before end of 2026. In June Gaz-Systems announced the successful Open Season for capacity with four separate bidders taking a total of 47 slots per year in then period 2030-2039. Orlen and Unimot reported having taken 12 slots each with PGE having taken an estimated 16 slots and Enea taking the remaining 7.

Iraqi efforts to get its first FSRU operational is delayed due to ongoing geopolitical kerfuffle in the Middle East. According to Iraq's Ministry of Energy the terminal will be completed early-June 2026. While there are additional delays at the terminal stemming from construction aspects, we understand there are also commercial elements pending to reach a point where the terminal facilities can be put in use. Moreover, the **EXCELERATE ACADIA** will remain in Jordan until early 2027 which in itself underlines the lack of realism on timelines in Iraq.

US\$ 328.4m (KRW 484bn) Transnet has granted permission to **Ukwanda LNG** to build South Africa's first LNG import terminal in Ngqura/Coega. The port of Coega has (along with many, many other ports in South Africa) been considered a suitable location for an FSRU at the eastern part of the port. However, being far from demand centers has been a stumbling block for other FSRU projects in the same location and with developments in Richards Bay slowly progressing we are keen to see if Ukwanda can reach lift-off. Karpowership announced a 3-year deal in Yucatan Peninsula where KPS will provide a 250MW powership together with a dedicated FSRU. It is expected that the FSRU deployed will be one of KarMol's units, either **KARMOL LNGT POWERSHIP EUROPE, ANTARCTICA or AMERICA**.

announced having signed up Exxon as their first major international shipper in a HoA following the "mandatory" agreement with Eskom in early June. EOI for EPC contractors on the marine/onshore side has been issued with closing in July, but VOPAK will remain responsible for the 170,000cbm FSU that represents Phase 1. Many hopeful LNG developers have come and gone from Richards Bay, but hopefully this one sticks...

EGAS has been in the market for a short-term FSU with the usual bumpy process, but has reportedly ended up with **SEAPEAK BAHRAIN** for a short three month period. While it is an interesting decision to select a vessel for short-term FSU charter - it is equally interesting to hear that Bahrain is currently on the lookout for an **FSRU as a long-term replacement for the FSU**.

SUBSEQUENT EVENTS

BW confirmed their newbuild to be employed at the AKR/JIPE project in Gresik, Indonesia. The **170,000cbm FSRU** was reported at a price of **US\$ 319.69m** and will be delivered in May-29 with COD expected in Q3/29. AKR and BW will have joint ownership in the company that orders the FSRU and while details have yet to emerge we would expect this to be the typical structuring to ensure compliance with Indonesian ownership requirements while the economics go to the FSRU Owners.

Quarterly corporate highlights: Nothing to knock your socks off...or?

NFEs restructuring process has gone through the motions in Q2 with press releases generally focused on legal aspects and the approval of the UK restructuring plan. BrazilCo has effectively raised US\$ 885m in notes at an interest rate of 12% (or US\$ 106m in interest cost annually) with uses being linked to operations/capex and refinancing of bridge loan/existing notes. In light of being in a restructuring process there have been no updates or quarterly releases, but we are hearing talks of their TM2500s being for sale and the other operations (Mexico, FastLNG1 and Puerto Rico) operating relatively steadily.

Excelerate reported Q1/26 in early-May with the most prominent news being the **EXCELERATE ACADIA** heading for a 9-month charter for NEPCO in Aqaba, Jordan as NEPCO are still not ready with their onshore solution which was due to start in Q3/26. The indicated EBITDA for the NEPCO-charter is ~US\$ 20m in 2026 (which would equate to a bareboat rate of US\$ 110,000/day assuming 01st July to 31st Dec 2026). Excelerate are not expecting to generate much income from the Petrobangla supply agreement due to FM from Qatar Energy – a situation all too familiar for many Asian buyers. The upcoming conversion of **EXCELERATE SHENANDOAH** is progressing with LoI signed with Seatrium for the conversion works. While still not allocated to a project, we consider the India-project at Haldia a potentially suitable fit. The most bullish data point from an FSRU perspective was Excelerate's comment on expecting to redeploy **EXPRESS** at improved economic terms. We now have visibility on this likely being in Colombia to Frontera Energy, which likely justifies the higher charter rate in light of the substantially higher credit risk compared to ADNOC.

Following the bond issuance in late-2025, **Kinetics** is now also in the public domain with a recent update on the progress for conversion of their three FSRUs. **OCEANIA** has been completed in Q2 with **TÜRKIYE** targeted for completion in Q3/26 before their largest FSRU; **KARADENİZ** arrives in Q4/27. We see the two initial vessels targeted for Karpowership's fleet of powerships, but the last FSRU has potential to compete in the "standard" FSRU market given a very wide range of operating conditions.

Finally, perhaps the most interesting corporate movement are those that should be considered as "no smoke without fire" which suggest there may be some upcoming transaction in the coming months that could slightly alter the market balance. More about that when/if it happens.

Quarterly focus: Understand FSRU demand to gain the upper hand and execute as planned

So far in 2026, the FSRU market has kept up a decent pace, with six charters concluded already. Locations, durations and assets vary a lot, but there's clearly momentum out there. For this quarter's focus, we dust off our crystal ball and ask: will the second half of 2026 be just as busy – and if so, **where, why, how and for whom?**

Where? We've recently **reviewed close to 280 projects**. Of these, around 130 are effectively dead, 70-80 are in recovery mode, leaving 70-80 projects with a genuine lease on life. We'd write off another 30 or so as unlikely to progress, which leaves **40-50 projects with a real shot at reaching FID**. Geographically, South/Southeast Asia, Europe and South America lead the pack – no great surprise, since Asia still has plenty of untapped potential and South America's gas consumption keeps climbing. Europe is a bit of a wildcard, but a handful of solid projects there should materialize in 2029-2030, meaning decisions need to land in 2026-2027.

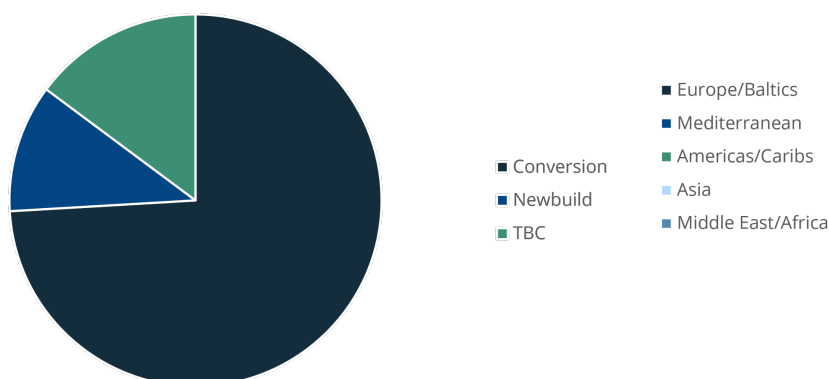
Why? Economics usually take the wheel once a project reaches a certain stage, but the softer, qualitative factors matter just as much for commercial viability. Our research points to regulatory environment and existing infrastructure as the main sticking points – essentially, the need to build mooring/jetties and pipeline onshore, all under tight environmental rules. If you spend your days in FSRU business development, you'll know these as the usual "red flags" – ones that tend to get pushed aside once long-tenor contracts and strategic importance enter the conversation. Around **60% of our likely projects sit in challenging regulatory environments** (translation: plenty of room for external curveballs), yet **80% come with expected contract durations of 10+ years** (translation: a nice cushion against residual risk for the FSRU provider). Striking the right balance between these two forces is really what makes or breaks a project.

How? Newbuilds look set to stay in limited demand, reserved for a select 10-15% of projects – usually driven by project-specific quirks (Poland being a good example) or simply over-engineering (looking at you, SLNG). Conversions, thanks to their shorter lead times, lower costs and performance that holds its own against newbuilds, remain the go-to solution across our likely-list. A few projects could still go either way, but these TBC cases also rank low on our likelihood scale, so they don't move the needle much.

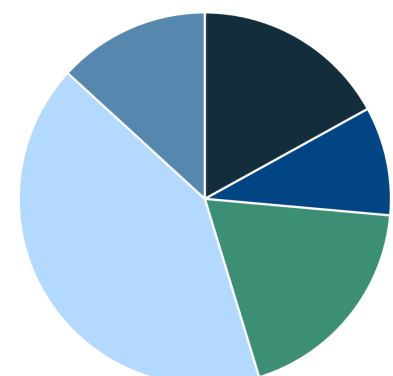
Who? Some projects in our database already have a likely FSRU provider lined up; others are still very much up for grabs. The "Big Boys" have already secured around 20-25% of our likely projects – a nod to some sharp, forward-leaning BD teams. That said, roughly two-thirds of the list is still open season. Cross-referencing project likelihood against probable provider, it's clear the Big Boys have generally locked in the opportunities most likely to succeed.

The final piece of the puzzle is **WHEN** all this actually comes to fruition and gets awarded – and for that conversation, we'd love to talk it through with you directly.

FSRU demand: Expected projects by vessel so- lution



FSRU demand: Expected projects by region



FSRU activity and volumes

After three consecutive quarters of record volumes, **Q2/26 showed a drop in volumes** delivered to FSRUs. However, it is still the **highest Q2 on record** – which is interesting in the context of the supply disruptions witnessed across the wider market. A total of **17.2mt / 280 cargoes** (up 13% Y-o-Y from 15.3mt / 255 cargoes in Q2/25 and down 10% Q-o-Q from 19mt / 303 cargoes in Q1/26). Activity was higher in all regions apart from Middle East and Mediterranean (which means **Turkey took the foot seasonally off the throttle**). In fact, Turkey is – as highlighted before – becoming a substantial swing consumer with imports in Q2/26 at only 0.4mt compared to 3.4 in Q1/26 and 2.3 in Q4/25. European demand remains relatively steady hovering around 7mt during the quarter and has done so for the past year as all FSRUs (almost) implemented on back of Russia-Ukraine in 2022 are operational now. Americas saw a nudge higher as Argentina restarts seasonal imports with the **EXPEDIENT** locked in for another two-year period. However, it will be interesting to see how Argentina handles their LNG imports to serve Buenos Aires when the first FLNG arrives next year. Lastly, **Egypt is relentlessly importing** at a high pace with **3.1mt or some 50 cargoes** for the quarter and no anomalies on the FSRU operating side. A recent requirement for an FSU for 3-months to EGAS suggests maybe their ADPs are a bit more than what they are able to handle on the regas side.

There were no new additions to the FSRU fleet in terms of new operational terminals during the quarter, but we count 46 active terminals of which 44 received cargoes during the quarter; **ALEDANDROUPOLIS** and Abu Dhabi **EXPRESS** being the only “donut”-terminals in Q2. The busiest terminals were Eemshaven (Netherlands) **ENERGOS IGLOO** at 17 cargoes, followed by Cartagena (Colombia) **HOEGH GRACE** at 16 cargoes and Ain Sokhna Sumed (Egypt) **HOEGH GALLEON** at 15 cargoes. An interesting observation in Q2 was that Bangladesh kept the pace despite being FM’ed across the majority of their long-term SPAs with **Petrobangla FSRU** taking 13 cargoes and **Summit FSRU** taking 14 cargoes.

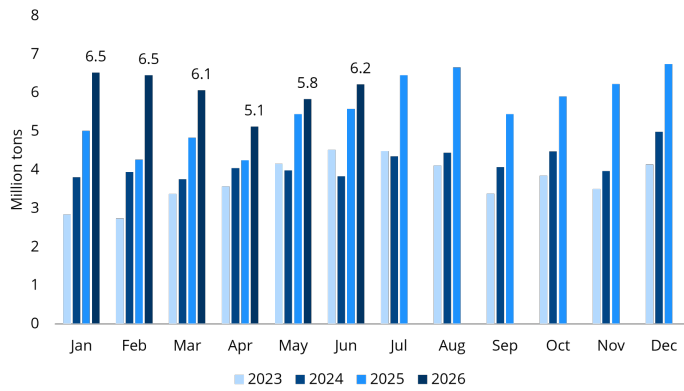
In terms of cargo sizes we note that Europe, Middle East and Mediterranean are taking full cargoes at appx 150,000-160,000cbm lots delivered whereas **Americas is very much a partial discharge destination** with the average size of 113,000cbm for the quarter. Asian cargoes were also this quarter substantially smaller at 106,000cbm on average versus the 110,000cbm on average during the preceeding 12 months – however this is partially skewed lower by some smaller FSRUs in the region as the largest cargoes were just shy of 160,000cbm. We take the opportunity yet again to remind the industry that the **170,000+cbm storage requirement may in many cases be a technical perversion rather than an operational requirement**.

There are now nearly no “insurance FSRUs” in the market as most take a cargo every now and then, but Aqaba (Jordan) **ENERGOS FORCE**, Sergipe (Brazil) **ENERGOS NANOOK**, Dordrecht (Turkey) **ETUGRUL GAZI**, Acu (Brazil) **BW MAGNA**, Sepetiba (Brazil) **KARMOL ASIA**, Hong Kong **BAUINIA SPIRIT** and Santos (Brazil), **HOEGH GIANT** each only taking one single cargo in the quarter. Hence, 7 units have crews with plenty of time to do maintenance. TGS remains “in service, but out of service” by the lack of an FSRU at the terminal – but this is expected to change with Ambar having announced a lease from NFE.

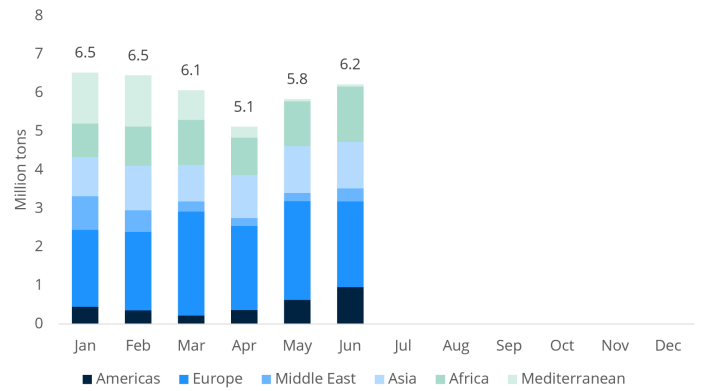
From a global perspective, **FSRUs delivered an all-time high 17.4% of all LNG volumes imported in Q2/26**. Global LNG imports dropped to 98.6mt in Q2 vs the current record 117.1mt in Q1. As such, the FSRUs were less impacted by the loss of Qatari LNG – which may not come as a surprise in light of the diverse geographical spread of FSRUs and their respective suppliers. We continue to see FSRUs growing in relevance and with the pipeline of projects and the associated expected demand profiles of the projects we’d be confident to expect FSRUs to provide 20% of global LNG imports within 2-3 years.



Global volumes imported through FSRUs (2023-2026YTD)



Monthly volumes imported through FSRUs by region (2026YTD)



Source: S&P / Platts

Recent FSRU Project Developments

Asia & Middle East

Gas Malaysia is expected to come to the market with an RFP or tender for newbuild/conversion in the second half of the year. Given the involvement of **Petronas, Tokyo Gas and VTTI** it feels like an open field in respect of FSRU providers – the only question is how many will bother to offer into a tender.

Bangladesh remains hampered by political inertia to get their **3rd FSRU** under way. Recent talks suggest any direct or bi-lateral proposal will be put in a pile to wait for a full 2008 PPP (Public Procurement Procedure) tender to get underway sometime in H2/26 (or maybe H1/27?).

Europe & Mediterranean

Poland is targeting to secure its 2nd FSRU following a successful open season. The selection process is underway and the invitees are reportedly only the “big boys” with decision due towards end-26.

Additional activity is happening in **Greece** and the **Balkans** with also **Montenegro and Albania** gearing up for FSRU projects. We have a higher conviction on Greece than the Balkans, but as per usual protocol the regulatory environment for bona fide (ie no emergency decree or similar) FSRU project developments remains a clamp.

Despite having announced successful offtakers including Equinor and BASF as well as intentions to reinstall the second FSRU at **Mukran** it has been quiet for some time from DRG. The project remains a high quality prospect with substantial demand into a liquid market – just need to get that FSRU lined up to access it.

Americas & Caribbean

Activity in **Colombia** has slowed down somewhat following the rush of announcements through the quarter. At this point it feels more like the task at hand is to understand the power dynamics which eventually leads to a few of the announced projects not moving forward.

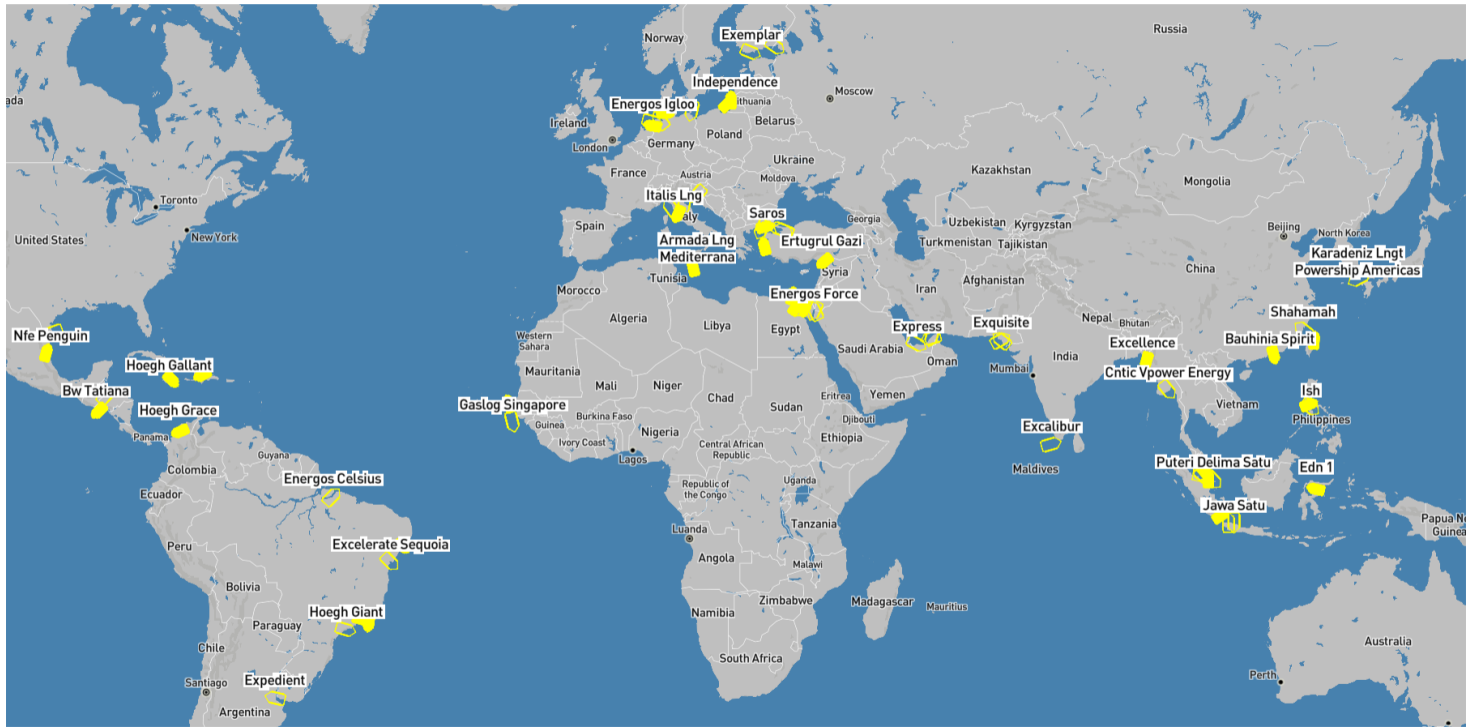
We are hearing substantial activity in **Brazil** with some of the new kids on the block taking positions. Admittedly, BW, Hoegh, Excelerate and Energos all have existing exposure and as the largest FSRU market in the world it may have room for some new players.

Africa & Other

South Africa is moving on several fronts with both **Coega/Ngqura and Richards Bay** having the foot on the accelerator. While Richards Bay is in essence ring fenced to VOPAK we understand the Coega initiative is an open situation.

New Zealand continues to push for an FSRU in Port Taranaki with the government having shortlisted two players. As we understand one of the players have access to an FSRU barge sitting in West Africa that has never regassified since delivery in 2020. Hopefully the Kiwi's have sense to select the other alternative.

Notable FSRU movements



Source: Fearnleys

BW MAGNA departed Acu at two occasions during the quarter with an extended period for nearly a month mid-May to mid-June. While the reason is not clear the disruption clearly has had an impact on GNAs TPPs.

EXCELERATE AACADIA has been the FSRU with most sailing time during the quarter departing from South Korea in early-Apr to pick up a cargo in Trinidad before heading to Egypt for discharge into **ENERGOS POWER** in Ain Sokhna and berthing at Aqaba late-June to replace **ENERGOS FORCE**.

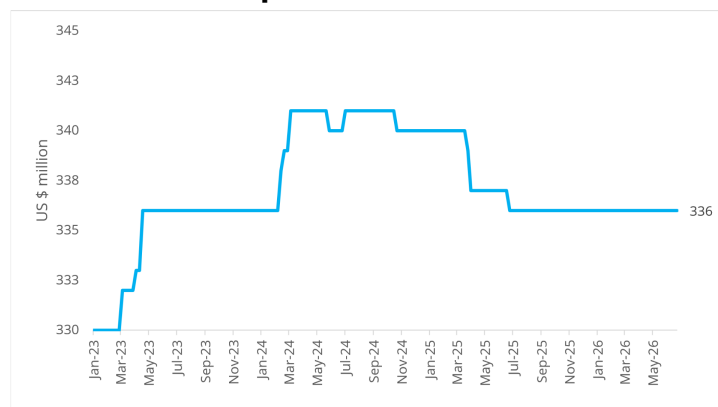
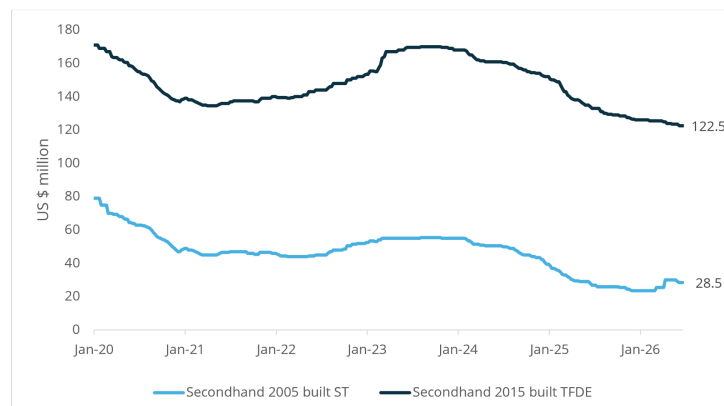
CAPE ANN (while technically an FSRU) seems to be doing more spot LNGC work having loaded in Bonny and discharged in India and Thailand before heading further East on her latest voyage.

BW SINGAPORE departed station a few times during the quarter – likely due to unfavorable weather conditions forcing the vessel to leave as the breakwater is not yet completed.

HOEGH ESPERANZA and **EXCELSIOR** both departed their respective jetties in Wilhelmshaven for a few days during April to accommodate the dredging of the sites. This is another beauty of the German FSRU sites including Stade; annual unavailability due to dredging.

Asset values: Newbuildings and conversion candidates

FSRU conversion candidates: Secondhand values FSRU Newbuild prices



Source: Fearnleys

The steady stream of requirements is driving interest in additional tonnage and we currently count **four newbuilds and three firm conversions** in the orderbook. However, adding the units that are expected to firm up upon satisfaction of CPs we can **add another five conversions** – and then another **2-3 semi-speculative units**. Hence, the potential additional supply at present stands at 13-14 units. Putting that in the context of a fleet of just north of 50 units one may argue the early warnings go off for those thinking orderbook as % of fleet. **However, the different specifications, sizes and to a certain extent bespoke units renders the supply risk somewhat lower.**

Looking ahead we expect to see **at least one more newbuild and could easily count north of 10 projects targeting conversions**. Timing on this may not be 2026, but probably over the next 12 months to reach the targeted CODs. This marks an uptick on our numbers from last quarterly update. The **conversion cases** are interesting as they are mainly a **consequence of the availability of existing tonnage being too late** (and some project specific requirements), but we may ultimately find ourselves very long FSRUs in 2032-2034 in the absence of FSRU stickiness.

Asset values have moved sideways for ST tonnage while DF tonnage is sliding lower on back of a few concluded transactions. S&P activity during the quarter has mainly been for trading tonnage and not many LNGCs sold with conversion in mind (we count two sales that are likely conversion-linked) and we continue to be amazed how active KYC-challenged Buyers are. Maybe more surprising are those selling to entities that technically qualify, but are only halfway houses to a Russian flag.

Preference on size is becoming very visible and anything below 145,000 cbm is completely yesterday – as **project Buyers focus on 150,000+**. The challenge faced by several is whether to go 150,000-153,000 ST in the 30s or take the leap to 155, 160 or 165 DF where the value of larger storage and existing DF engines balance against the higher pricing which runs from US\$ 70-80 million all the way up to US\$ 140 million. Not to speak about those focusing on modern 170,000+ who may need to shell out additional green.

Delivery times are generally on forward basis with willingness to conclude pricing on the prompt; an element that FSRU/FSU projects offer to Sellers that we think Sellers have not fully appreciated just yet. The ability to secure your residual of an asset that by most hallmarks will be borderline obsolete in two years (when a mild 200+ additional 2-strokes have delivered and squeezed DFs into more niche trades should be welcomed with open arms – not a “we’re sellers US\$ 5-10 million above last”.

On the supplier side we see **engines as becoming the new critical path item**. Not necessarily due to the time it takes to produce, but the **availability of slots**. Regas modules are **still in the range of 14-18 months** (some quote less, but

we find it hard to believe without having secured booster pumps speculatively). The consequence is that there are now **two items that are tricky to deal with on the conversion timeline**, but they are fortunately somewhat separate in the overall process. It also speaks in favor of considering DF tonnage instead of STs. **Total conversion time** from FID to redelivery from yard is as far as we read the EPC contractors still in the range of 23-28 months which means around **25-31 months FID to COD**. Capex also largely sits unchanged, but we've seen some early indications of a nudge up on costs. For the time being our range from last quarter remains; **US\$ 110-140 million for DFs and US\$ 140-180 for STs basis 500/750 SW/Glycol Open Loop** without any additional BOG handling, power supply, boilers or other project-specific bells and whistles.

Lastly, the **FSRU newbuild market** seems to be getting a bit more traction with MISC ordering their Petronas-linked unit at Samsung at a quoted US\$328 million and talks of Poland #2 as well as AKR heading down the newbuild route. This is give or take aligned with our most recent quote of US\$ 335m for a "standard" newbuild (170-174,000cbm / 3 x 250MMSCFD SW-Glycol Open Loop). There are many benefits to the newbuilds vs conversions – and for those chasing 170,000cbm as an absolute requirement the price differential is marginal considering useful life. However, what still favors conversions is the lead time due to the fact that **newbuilds now can deliver in Q4/29 at the earliest**.



Disclaimer

1. Introduction

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Pursuant to Fearnleys' Code of Conduct, all employees of Fearnleys AS are subject to duty of confidentiality towards clients and with respect to handling inside information. All employees shall follow strict information handling procedures and other organizational procedures to minimize conflicts of interest within Fearnleys and between clients.

4. General Disclaimer of Liability

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The processing of personal data within Fearnleys AS is subject to strict rules and regulations. Our Privacy Policy describes the procedures for processing personal data according to the General Data Protection Regulation (GDPR). Please see our homepage for more information on this.

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